MARKETBEAT

PHOENIX

OFFICE Q1 2025

CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
27.8% Vacancy Rate	▼	▲
486K YTD Net Absorption, SF	▲	▲
$29.93 Asking Rent, PSF	▲	▲

(Overall, All Property Classes)

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	▼	▲
3.5% Phoenix Unemployment Rate	▲	▲
4.1% U.S. Unemployment Rate	▲	▲

Source: BLS

ECONOMY: PHOENIX OUTPERFORMS NATIONAL AVERAGES

In Q1 2025, the Phoenix Metro recorded an employment level of 2.5 million jobs while the unemployment rate rose significantly from 3.0% in Q1 2024 to 3.5% to start 2025. Phoenix's unemployment rate remained well below the national average of 4.1% and was the second-lowest rate of any major city with employment exceeding 2 million jobs. The metro area continued to experience strong growth, as the number of households increased by 2.5% year-over-year (YOY) to 2.0 million. Strong wage growth drew job seekers back into the labor market, as the median household income reached $90,600, up 4.5% YOY. In comparison, the national average salary rose 3.5% YOY to $81,700. Phoenix outperformed national figures due to its robust job market, steady population growth, and competitive wages, which attracted both businesses and workers to the region.

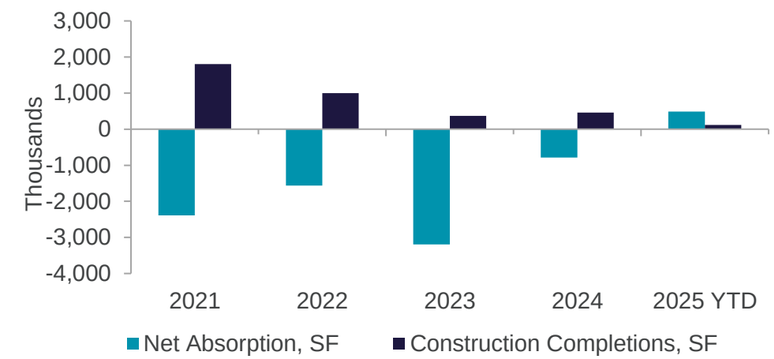
DEMAND: OFFICE VACANCY TRENDS LOWER

Phoenix office vacancy declined to 27.8% in Q1 2025, continuing the downward trend observed during final three months of last year. Direct and sublease vacancy rates fell quarter-over-quarter (QOQ) to 22.7% and 5.1%, respectively, due to positive net absorption overall and the removal of several large blocks of vacant spaces from office inventory. Additionally, a number large-scale move-ins to top-tier offices helped the Class A vacancy rate fall by a metro-leading 100 bps QOQ, reaching 29.9%. Class B and C offices also contributed to the metro's overall vacancy decline, each registering dips of at least 50bps QOQ.

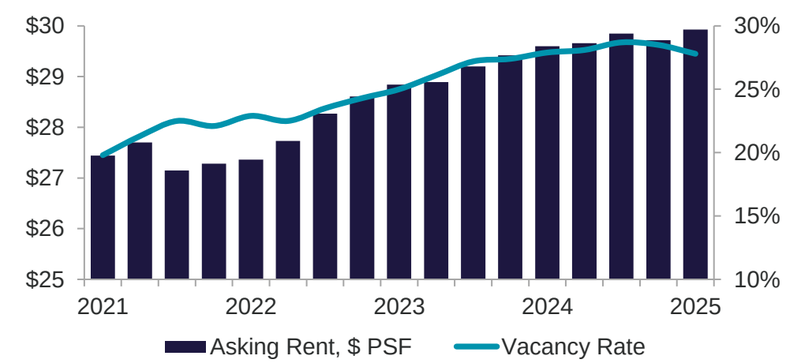
DEMAND: LEASING ACTIVITY HOLDING STEADY

The Phoenix Metro office market recorded 1.1 million square feet (msf) of gross leasing activity in Q1 2025, representing a modest decrease from the prior quarter. The slowdown was, however, due to lesser activity among Class B offices — with both the Class A and C sectors nearly matching their totals from Q4 2024. Furthermore, over half of Phoenix's 24 submarkets registered QOQ increases in leasing activity, with Midtown alone accounting for much of the metro's overall decline from Q4 2024. Office space demand was highest across the Scottsdale Airpark, Tempe and Price/Chandler/Gilbert submarkets, with each area attracting over 130,000 sf of new office leases. Together, the three submarkets comprised 37 percent of the metro's leasing activity in Q1 2025.

SPACE DEMAND / DELIVERIES



OVERALL VACANCY & ASKING RENT



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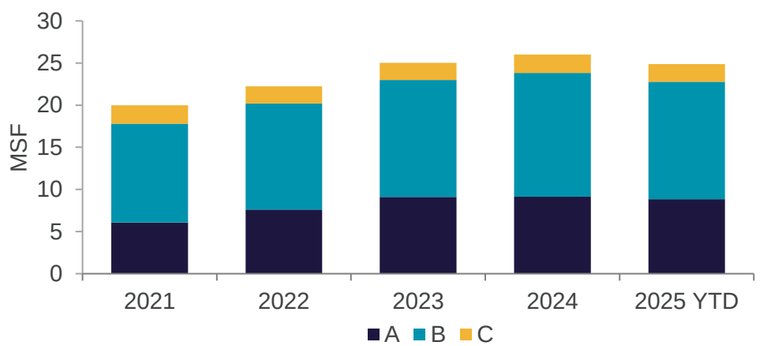
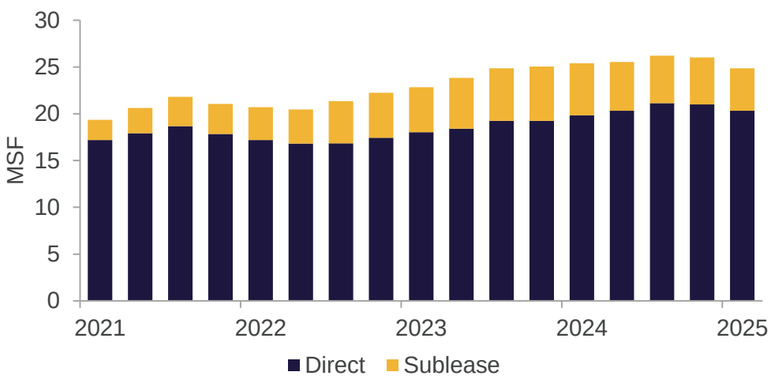
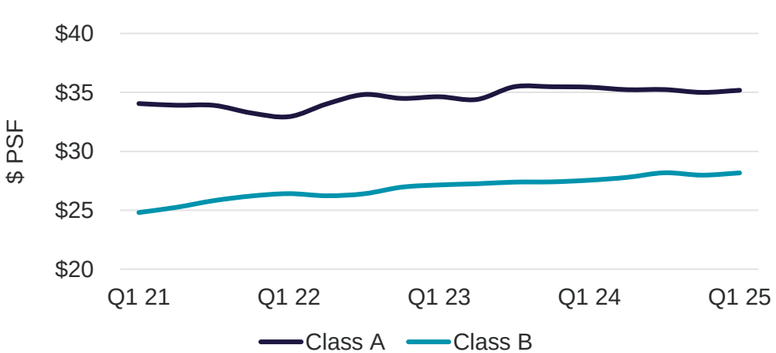
VACANT SPACE BY CLASS



DIRECT VS. SUBLEASE SPACE AVAILABLE COMPARISON



ASKING RENT COMPARISON



DEMAND: NET ABSORPTION STAYS POSITIVE

Office net absorption across the Phoenix Metro increased to 485,505 sf in Q1 2025, continuing the metro's rally that began in Q4 2024. Positive trends were experienced across all property tiers, with Class A offices leading the charge at 278,664 sf of net absorption. This quarterly total was the Class A sector's highest since at least 2019, with just three tenants — Vensure Employer Services, Dorsey & Whitney and LEGO — occupying a combined total of 186,715 sf. The Class C sector also experienced a notable absorption increase, with 13 out of 24 submarkets recording occupied stock growth among their lower-tier properties. While still positive, Class B space made more limited progress compared to their counterparts. Class B net absorption, at 118,608 sf, was greatly influenced by Northrop Grumman occupying 119,222 sf in a newly-constructed building in the Gilbert Spectrum business park.

SUPPLY: SUBLEASE VACANCY CONTINUES DESCENT

Phoenix's vacant sublease space moderated by 476,186 sf from Q4 2024, to 4.5 msf as of as of the first quarter. The Class B sector fueled most of the decrease with a 310,819-sf reduction, followed by Class A spaces which had 147,417 sf taken off the market. Overall, sublease inventory has remained geographically concentrated in Tempe, with the submarket accounting for 1.1 msf, or 24% of the metro's total in Q1 2025. The Price/Chandler/Gilbert and South Airport submarkets also comprised a significant share, combining for nearly 1.3 msf of vacant sublease space.

PRICING: OVERALL RENTS BUMP UP

In Q1 2025, the overall gross average asking rent in Phoenix reached $29.93 per square foot (psf), representing a 0.7% bump QOQ. Class A and B rents posted QOQ gains at 0.5% and 0.7% respectively, countering a -0.7% dip among Class C spaces. The Deer Valley submarket played a large role in the rise, with its overall average asking rent growing by 2.2% QOQ to $28.63 psf. The Camelback Corridor continued to be the most expensive submarket, with landlords quoting an average rent of $38.86 psf full-service gross. Central Phoenix remained the least expensive area for tenants, with its average asking rent ticking down to $20.11 psf in the first quarter.

THE BRIGHT SIDE: SMALLER FLOORPLANS REMAIN HARD TO COME BY

Smaller office buildings, which often cater to local business, professional services and medical uses, continued to report tighter vacancy than larger buildings through Q1 2025. Office product between 20,000 and 50,000 sf recorded vacancy at 15.7%, well-below the market's overall benchmark. While the vacancy rate among office properties 50,000 sf and larger was much higher, at 29.7%, the segment still noted a 70-bps decline QOQ. Strong leasing activity among these types of properties will likely sustain this momentum into the coming months, with the 50,000-sf-plus segment attracting 894,085 sf of leasing activity through Q1 2025.

OUTLOOK

- Positive momentum is underway in the Phoenix office market. Overall net absorption has pushed back into positive territory for two consecutive quarters, leading the metro to accomplish this feat for the first time in three years. While footprint downsizings could still challenge this trend, strong demographics and an abundance of high-profile manufacturing projects should continue to positively influence office space demand long-term.
- Overall office vacancy in Phoenix is trending down from its Q3 2024 peak, with the metric decreasing by a total 90 bps over the past six months. Sustained, 1M-plus sf of leasing activity in 1Q 2025 and minimal planned speculative supply may pave the way for additional vacancy declines through the rest of the year.
- Only two new speculative office projects were underway in Phoenix as of March 2025. This includes Central Station, a new mixed-use development in downtown Phoenix that is planned to include over 70,000 sf of office space, and an additional 37,000 sf office building at The Grove in the Camelback Corridor.

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MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)*	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (ALL CLASSES)**
(1) Arrowhead	480,517	6,161	71,005	16.1%	-967	-967	9,731	-	$30.66
(2) Metrocenter	5,179,700	67,946	1,812,687	36.3%	8,859	8,859	51,635	-	$22.81
(3) Glendale 101	749,464	37,122	114,964	20.3%	19,635	19,635	6,581	-	$26.80
(4) Southwest Phoenix	313,743	0	0	0.0%	28,500	28,500	32,841	-	N/A
(5) Piestewa Peak	2,278,547	146,342	402,285	24.1%	-27,639	-27,639	23,725	-	$26.80
(6) Midtown	8,484,730	59,120	2,504,926	30.2%	-12,922	-12,922	63,448	-	$25.64
(7) Downtown	5,882,985	358,388	1,497,000	31.5%	-28,371	-28,371	35,290	73,000	$31.91
(8) Desert Ridge/Paradise Valley	1,710,549	13,673	454,312	27.4%	8,636	8,636	29,062	250,000	$32.23
(9) Camelback Corridor	7,037,109	114,715	1,506,279	23.0%	20,417	20,417	92,668	37,000	$38.86
(10) Central Phoenix	880,077	0	170,516	19.4%	-10,698	-10,698	5,994	-	$20.11
(11) North Airport/44th St Corridor	2,463,105	130,799	592,201	29.4%	-18,436	-18,436	5,291	-	$28.17
(12) South Airport	6,117,432	611,440	1,719,459	38.1%	45,325	45,325	26,388	-	$28.15
(13) Scottsdale Airpark	9,394,884	403,579	1,367,798	18.9%	22,028	22,028	148,425	-	$32.94
(14) Central Scottsdale	4,828,775	77,412	789,405	18.0%	-23,144	-23,144	31,670	-	$31.88
(15) South Scottsdale	4,342,790	96,695	1,239,682	30.8%	4,184	4,184	76,097	-	$35.45
(16) Tempe	10,347,572	1,088,152	2,039,050	30.2%	286,728	286,728	132,170	-	$35.37
(17) South Tempe/Ahwatukee	1,675,191	39,094	379,055	25.0%	-684	-684	28,310	-	$25.89
(18) East Mesa	546,562	0	85,691	15.7%	8,644	8,644	21,767	-	$20.59
(19) Superstition Corridor	2,828,171	103,629	548,030	23.0%	-17,904	-17,904	52,074	-	$23.89
(20) Price/Chandler/Gilbert	8,543,801	680,476	1,986,948	31.2%	172,555	172,555	140,275	-	$28.69
(21) Deer Valley	4,645,994	493,098	895,257	29.9%	-5,434	-5,434	80,028	-	$28.63
(22) West I-10	317,674	9,278	76,577	27.0%	524	524	21,945	-	$35.42
(23) Loop 303/Surprise	129,735	0	39,717	30.6%	5,052	5,052	-	-	$32.79
(24) Phoenix-Mesa Gateway/Loop 202	341,530	0	38,147	11.2%	617	617	7,482	-	$34.89
PHOENIX TOTALS	**89,520,637**	**4,537,119**	**20,330,991**	**27.8%**	**485,505**	**485,505**	**1,122,897**	**360,000**	**$29.93**
Class A	29,530,281	2,672,595	6,157,766	29.9%	278,664	278,664	342,903	323,000	$35.18
Class B	47,528,602	1,818,515	12,136,699	29.4%	118,608	118,608	586,290	37,000	$28.17
Class C	12,461,754	46,009	2,036,526	16.7%	88,233	88,233	193,704	-	$21.63
PHOENIX TOTALS	**89,520,637**	**4,537,119**	**20,330,991**	**27.8%**	**485,505**	**485,505**	**1,122,897**	**360,000**	**$29.93**

**Renewals not included in leasing statistics. **Rental rates reflect full service asking.*

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MAJOR MARKET STATISTICS

MAJOR MARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)*	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (ALL CLASSES)**	OVERALL AVG ASKING RENT (CLASS A)**
Camelback/Piestewa Peak	9,315,656	261,057	1,908,564	23.3%	-7,222	-7,222	116,393	37,000	$35.81	$42.75
Central Business District	14,367,715	417,508	4,001,926	30.8%	-41,293	-41,293	98,738	73,000	$28.27	$34.24
East Phoenix	9,460,614	742,239	2,482,176	34.1%	16,191	16,191	37,673	-	$27.73	$31.62
Northeast Valley/Scottsdale	20,276,998	591,359	3,851,197	21.9%	11,704	11,704	285,254	250,000	$33.41	$37.48
Southeast Valley	13,935,255	823,199	3,037,871	27.7%	163,228	163,228	249,908	-	$27.45	$31.65
Tempe	10,347,572	1,088,152	2,039,050	30.2%	286,728	286,728	132,170	-	$35.37	$42.81
West/Northwest Phoenix	11,816,827	613,605	3,010,207	30.7%	56,169	56,169	202,761	-	$25.78	$30.38
PHOENIX TOTALS	**89,520,637**	**4,537,119**	**20,330,991**	**27.8%**	**485,505**	**485,505**	**1,122,897**	**360,000**	**$29.93**	**$35.18**

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KEY LEASE TRANSACTIONS Q1 2025

PROPERTY	SUBMARKET	TENANT	SF	TYPE
Allred Park Place – Building 7	Price/Chandler/Gilbert	Vensure Employer Services	151,011	Expansion/Renewal*
Camelback Esplanade I	Camelback Corridor	Shamrock Foods	60,855	Direct New
Chandler 202	Price/Chandler/Gilbert	Invitation Homes	47,435	Direct New
Marina Heights – Building D	Tempe	LPL Financial	41,038	Sublease
Norterra – South Building	Deer Valley	Performance Software	38,063	Direct New

**Renewals not included in leasing statistics*

KEY SALE TRANSACTIONS Q1 2025

PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
Ryan at ASU Research Park	Price/Chandler/Gilbert	Strategic Office Partners / NewStreet	101,949	$22.1M / $226
Element at Kierland	Scottsdale Airpark	Providence / Element 14614 N Kierland LLC	55,268	$18.5M / $334
Elliot Center	South Tempe/Ahwatukee	Walton Street Capital / Creation Equity	223,392	$13.5M / $60
Arrowhead Business Park – Phase I	Arrowhead	Hill Trust / Stuart Erskine	34,208	$6.2M / $184
University Park – Building A	South Airport	CWIE Management Resources / VW Connect	24,430	$6.1M / $250

KEY CONSTRUCTION COMPLETIONS Q1 2025

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
Gilbert Spectrum – Building 3	Price/Chandler/Gilbert	Northrop Grumman	119,222	SunCap Property Group

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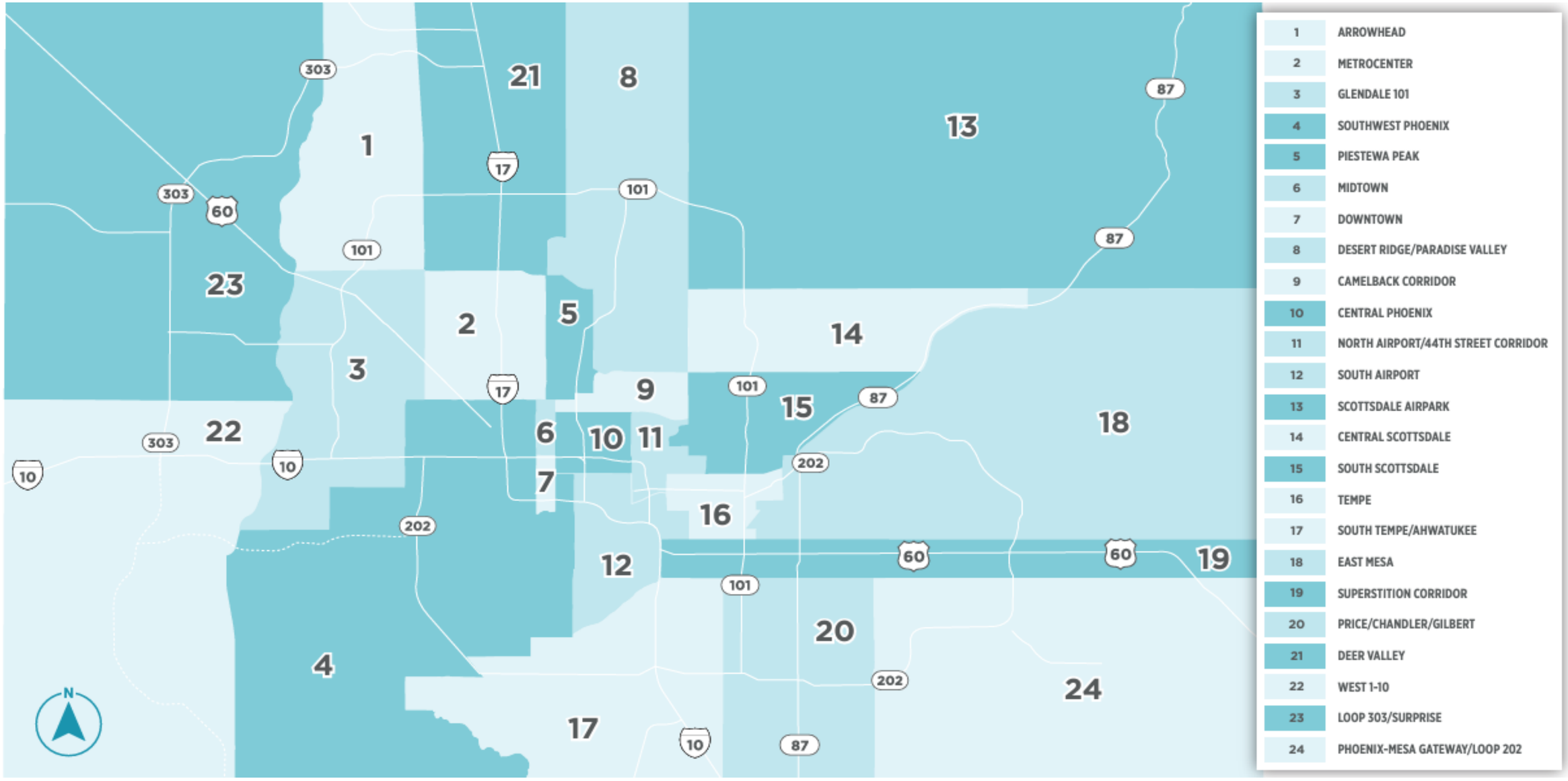
OFFICE SUBMARKETS



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